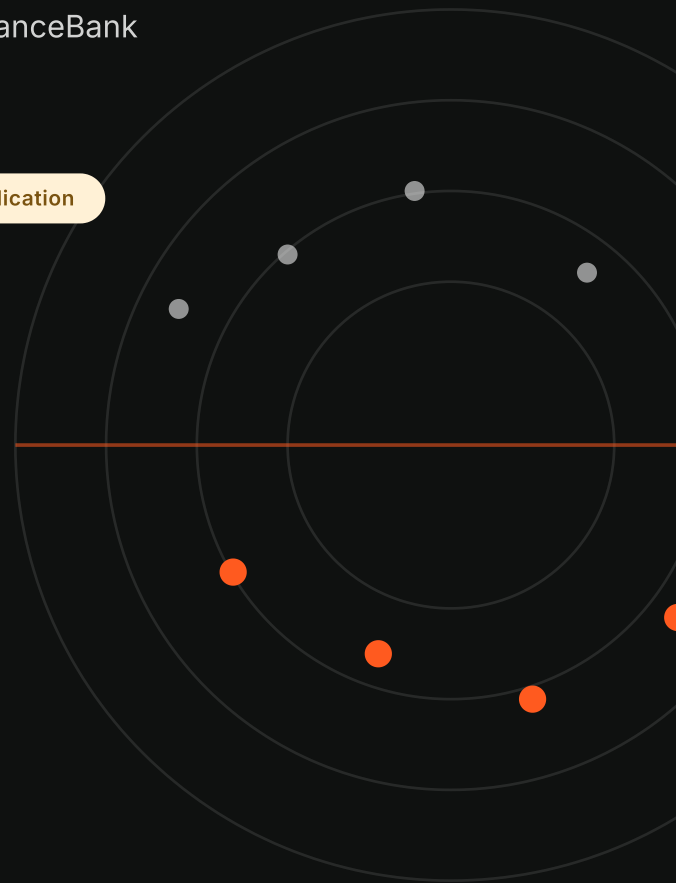


INTERNSHIP PROPOSAL · AGA KHAN AGENCY FOR MICROFINANCE

Reading beyond the *credit file*

AI-supported ideas for working-capital lending, drawn from a five-week remote internship studying First MicroFinanceBank Afghanistan.

Intern proposal for discussion · Not implemented · Not an AKAM publication



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PREPARED FOR

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teams I worked alongside

EDITION

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01 · EXECUTIVE SUMMARY

The loan is decided by what the file can't see

During my internship I studied how a microfinance bank decides whether to lend working capital to people who have no collateral, no credit score and no formal financial history.

I expected the missing data to be the main problem. What I found more interesting was what replaced it. Harvest timing, exchange-rate exposure and a borrower's standing in her community often decided whether a loan could be repaid, yet none of these sits neatly in a conventional credit file.

This proposal sets out three small, AI-supported tools that could help loan officers record and use that information more consistently, together with the safeguards I think any such tool would need. They are ideas for discussion. None has been built, tested or adopted by AKAM or First MicroFinanceBank, and every lending decision would stay with trained staff.

WHAT

Three assistive tools for loan officers, plus ideas for internal teams

WHO IT SERVES

Borrowers with seasonal or informal income, and the staff who assess them

STATUS

An intern's proposal, written for learning and discussion

02 · CONTEXT

Where I worked

The Aga Khan Agency for Microfinance (AKAM) is part of the Aga Khan Development Network. It supports microfinance institutions that provide loans, savings and other financial services to families and small businesses that conventional banks tend to exclude.

My work focused on one of those institutions, **First MicroFinanceBank Afghanistan (FMFB-A)**, which has operated since 2004 and whose shareholders are development institutions, including AKAM, the Aga Khan Foundation, KfW and IFC. I looked specifically at **working-capital lending**: short-term loans that let farmers, traders and small business owners buy the seeds, stock or materials they need before they are paid.

The internship was remote. Over video calls, FMFB-A staff walked us through the bank's history, its results and live projects, and I spent time with HR, marketing and product colleagues learning how each team works. Between sessions I researched the challenges they described and prepared presentations exploring where AI might help.

03 · WHAT I OBSERVED

Three things the data doesn't capture

A conventional lender relies on collateral, a credit score and financial statements. The borrowers I studied typically had none of them. The evidence that mattered came from elsewhere.

01

Harvest timing

Seasonal income revealed repayment capacity that monthly cash-flow analysis hid. A farmer can look unable to pay month by month yet repay easily after harvest. The problem was the schedule, not the borrower.

02

Exchange rates

When a borrower's inputs are imported, a weaker currency squeezes her margin without anything in her business changing. A loan that looks sound on paper can quietly become unaffordable.

03

Reputation

A borrower's standing in her community carried economic value that no balance sheet records. References and a record of repaying informal loans worked as a kind of *social collateral*.

Is financial analysis about extracting the right answer from the data, or recognising what the data fails to capture?

A worked example (hypothetical figures)

Farida borrows 36,000 afghanis for seeds and supplies. Most of her income arrives in the weeks after harvest. The same borrower, with the same loan, gives two different answers depending on how the repayments are structured.

EQUAL MONTHLY INSTALMENTS

Looks like a decline

Several months show a shortfall, because repayments fall due before her crop is sold.

HARVEST-ALIGNED REPAYMENTS

Looks like an approval

Payments are scheduled around the months when her income actually arrives.

Farida is a hypothetical borrower used to illustrate the pattern. She is not a real FMFB-A client, and the figures are not bank data.

04 · PROPOSED IDEAS

Tools that help staff see more, not decide for them

Each idea is deliberately small. The aim is to help a loan officer record and weigh evidence that already exists, not to replace judgement with a score.

A

A seasonal cash-flow view

A simple assistant that helps an officer map a borrower's income calendar, such as harvest, trading season or remittance months, and compare equal monthly instalments with a schedule aligned to when money actually arrives.

Why it matters: it turns "can she pay every month?" into the more useful "when can she pay?"

B

Structured notes for soft information

Loan officers already hear about references, group membership and informal repayment history. An AI-supported template could turn interview notes into a consistent, reviewable summary, so that evidence is recorded the same way across branches instead of being lost.

Why it matters: social collateral only helps a borrower if it is written down and weighed fairly.

C

A currency-exposure flag

A prompt that asks whether a borrower's key inputs are imported and shows how her repayment capacity would change if the local currency weakened by, say, 10 to 30 percent.

Why it matters: it makes a hidden risk visible before the loan is agreed, when the structure can still change.

D

Support for internal teams

From my sessions with HR, marketing and product colleagues: AI-assisted first drafts of customer education material in local languages, reviewed by staff before use; a searchable guide to internal policies for new employees; and summaries of customer feedback that product teams can act on.

Why it matters: small time savings let staff spend more of their day with customers.

Where each lending idea fits in the loan cycle

STAGE 1 Apply	STAGE 2 Assess	STAGE 3 Structure	STAGE 4 Repay
B	A B C	A C	Officer follow-up

Assessment is where my internship work sat, and where most of the missing evidence has to be found.

05 · SAFEGUARDS

What any tool like this would need

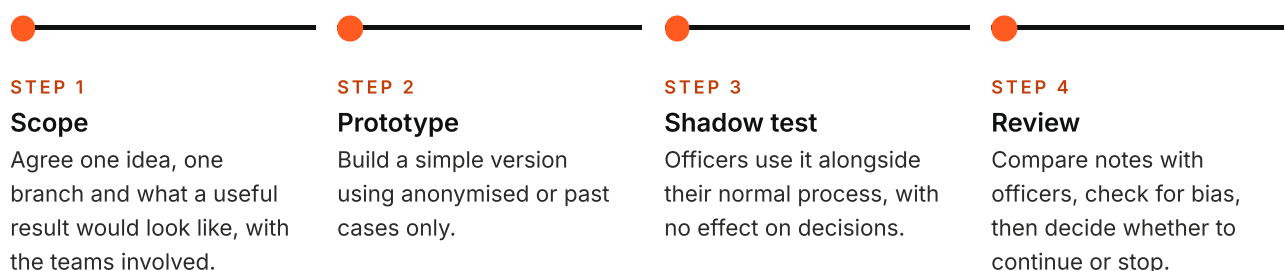
Microfinance exists to include people that other systems leave out. A careless tool could do the opposite, so these principles come before any feature.

PRINCIPLE	WHAT IT MEANS IN PRACTICE
People decide	Tools suggest and summarise. A trained officer makes and signs every lending decision, and can override any suggestion.
Fairness first	No borrower should be penalised for lacking documents. Outputs would be checked regularly for differences between groups, including women and rural borrowers.
Privacy and consent	Collect only what the decision needs, explain to borrowers how their information is used, and keep data within the institution's own systems.
Explainable outputs	Every suggestion should show the reason behind it in plain language that an officer can repeat to a borrower.
Built for the context	Work in local languages, on low bandwidth and offline where needed, and fit the forms and routines staff already use.

06 · A CAUTIOUS FIRST STEP

How the ideas could be tested

If any idea were worth exploring, I would suggest starting small and learning before building anything that affects a real decision.



07 · WHAT I LEARNED

The loan didn't change. Only its structure did.

The most useful lesson of the internship was that a lending decision depends as much on how a loan is structured as on who is borrowing. A repayment schedule, the currency a loan is written in and the way references are recorded can decide who carries the risk, and whether a capable borrower is approved at all.

The experience strengthened my interest in how financial institutions and technology can respond to practical needs, and led me towards a new interest in private equity, where assessing a business also means looking beyond reported numbers to understand how durable its cash flows really are.

What this proposal is

- A reflection on what I observed as a remote intern
- A set of ideas I explored in presentations to the teams I met
- A starting point for discussion

What it is not

- An AKAM or FMFB-A document or plan
- A claim that any tool was built or adopted
- A description of any real borrower

Thank you

I am grateful to the AKAM and First MicroFinanceBank Afghanistan colleagues who gave their time to explain their work. Any mistakes in this proposal are my own.

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